

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR ENGROSSED
6 SENATE BILL NO. 2060

By: Haste and Mann of the
Senate

and

Lawson and **Caldwell (Trey)**
of the House

11 COMMITTEE SUBSTITUTE

12 An Act relating to improvement districts; amending 11
13 O.S. 2021, Section 39-101, 39-102, and 39-103, which
14 relate to short title, definitions, and creation of
15 certain districts; modifying short title; modifying
16 definitions; providing for the creation of master
17 development districts upon certain approval;
18 establishing requirements and procedures for approval
19 of applications for the creation of certain
20 districts; allowing protests of approvals within
21 specified time period; authorizing districts to adopt
22 rules and bylaws; requiring inclusion of certain
23 provisions in governing document; granting certain
24 rights and powers to board of supervisors of master
 development districts; authorizing lien on real
 property for assessments levied by the master
 development districts; authorizing districts to make
 certain improvements; construing provisions;
 requiring obligations be payable from certain
 sources; authorizing districts to take certain
 actions related to works or improvements; granting
 districts certain contracting authority; requiring
 certain parties enter into a master development
 agreement; establishing requirements for master
 development agreements; directing the State Treasurer
 to develop certain template; authorizing certain

1 covenants; amending 11 O.S. 2021, Section 39-115,
2 which relates to the issuance of certain bonds;
3 authorizing the issuance of certain bonds by
4 districts; modifying and specifying applicability of
5 certain provisions; updating statutory language;
6 prohibit providing certain utility ownership or
7 services from being provided; providing for
8 codification; and providing an effective date.

8 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

9 SECTION 1. AMENDATORY 11 O.S. 2021, Section 39-101, is
10 amended to read as follows:

11 Section 39-101. This act shall be known and may be cited as the
12 ~~Improvement District Act~~ "Building Utilities and Infrastructure for
13 Long-term Development (BUILD) Act".

14 SECTION 2. AMENDATORY 11 O.S. 2021, Section 39-102, is
15 amended to read as follows:

16 Section 39-102. As used in the ~~Improvement District~~ BUILD Act,
17 the singular includes the plural and:

18 1. "Acquired" means the acquisition of property or interests in
19 property by purchase, gift, condemnation or other lawful means;

20 2. "City" means any city or town incorporated pursuant to the
21 laws of ~~Oklahoma~~ this state;

22 3. ~~"Engineer" means a city engineer, city official, employee or~~
23 ~~other person competent to advise and assist the governing body in~~
24 ~~planning and making an improvement;~~

1 4. "Cost" means any cost necessarily or reasonably incurred in
2 making the improvement, including, but not limited to, cost of:

- 3 a. preparation of preliminary reports,
- 4 b. preparation of plans and specifications,
- 5 c. preparation and publication of notices of hearings,
- 6 resolutions, ordinances and other proceedings,
- 7 d. fees and expenses for engineers, attorneys, laborers
- 8 and other personal services,
- 9 e. rights-of-way, materials and other lawful expenses
- 10 incurred in making any improvement, and
- 11 f. capitalized interest, funding of reserves, premiums
- 12 for reserve surety bonds, and obtaining bond
- 13 insurance, letters of credit or other credit
- 14 enhancements or liquidity instruments;

15 5. ~~4.~~ "District" means ~~an area designated by the governing body~~
16 ~~to be benefited by an improvement and subjected to payment of~~
17 ~~special assessments for all or a portion of the cost of the~~
18 ~~improvement~~ district or a master development district. Any
19 reference in the BUILD Act to a district shall be construed to refer
20 to the specific entity created under Section 39-103 of this title.
21 Any power, duty, or authority granted to a district or the governing
22 body of the district shall be exercised independently by the board
23 of supervisors for a master development district, and by the
24 municipal governing body for an improvement district;

1 5. "Engineer" means a city engineer, city official, employee,
2 or other qualified person employed by a public or private entity who
3 is competent to advise and assist the governing body of a city or
4 master development district in planning and making an improvement;

5 6. "Governing body" means the city council, city commission or
6 board of trustees of an incorporated city or town, or the board of
7 supervisors of a master development district;

8 7. "Governing document" means the document governing the
9 creation of an improvement district or master development district;

10 8. "Improve" means to construct, reconstruct, maintain,
11 restore, replace, renew, repair, install, equip, extend, purchase,
12 alter or otherwise perform any work which provides a new facility,
13 or enhances, extends or restores the value or usefulness of an
14 existing facility;

15 ~~8.~~ 9. "Improvement" means any type of improvement made by
16 authority of ~~this Improvement District Act~~ the BUILD Act and
17 includes reimprovement of any prior improvement made pursuant to the
18 BUILD Act or any other act;

19 10. "Improvement district" means an area designated by the
20 governing body of a city to be benefited by an improvement and
21 subjected to payment of special assessments for all or a portion of
22 the cost of the improvement;

23 11. "Improvement plan" means a comprehensive report prepared by
24 an engineer outlining the proposed improvements, a preliminary plat

1 or map of the district, an estimate of costs, and a plan for the
2 financing, construction, and maintenance of the improvements;

3 ~~9.~~ 12. "Mail" means by first-class mail;

4 13. "Master development district" means an area within a city,
5 municipality, or unincorporated area of a county with defined limits
6 and boundaries that operates separately and distinctly from the
7 city, municipality, or county and is subject to the provisions of
8 the BUILD Act including, but not limited to, special assessments
9 against real property in such district benefited by an improvement
10 for the financing, repayment, or maintenance of the costs of the
11 master development district's public improvements;

12 14. "Publish" or "publication" means printing in a newspaper
13 which maintains an office in the city or town and is of general
14 circulation within the city or town, or, if there is no newspaper
15 which maintains an office in the city or town, a newspaper of
16 general circulation within the city or town and in two separate
17 issues thereof, at least seven (7) days apart;

18 15. "Street" means any highway, street, alley, boulevard,
19 avenue, right-of-way, public ground, or other public facility, or
20 any part thereof;

21 16. "Surface property owner" means the owner or owners of
22 record of the surface of the property included in a proposed master
23 development district or improvement district; and

1 ~~10.~~ 17. "Trustee" means a city or master development district

2 acting pursuant to ~~this act;~~

3 ~~11. "Street" means any highway, street, alley, boulevard,~~
4 ~~avenue, right of way, public ground, or other public facility, or~~
5 ~~any part thereof; and~~

6 ~~12. "Publish" or "publication" means printing in a newspaper~~
7 ~~which maintains an office in the city or town and is of general~~
8 ~~circulation within the city or town, or, if there is no newspaper~~
9 ~~which maintains an office in the city or town, a newspaper of~~
10 ~~general circulation within the city or town and in two (2) separate~~
11 ~~issues thereof, at least seven (7) days apart~~ the BUILD Act.

12 SECTION 3. AMENDATORY 11 O.S. 2021, Section 39-103, is
13 amended to read as follows:

14 Section 39-103. A. The governing body of any city may create
15 one or more improvement districts for the purpose of making or
16 causing to be made any improvement or combination of improvements
17 that confer special benefit upon property within the district.

18 B. A master development district shall be created upon the
19 approval of an application to the relevant governing body of a city
20 or county in which the proposed master development district is
21 situated, pursuant to the conditions in this subsection. Upon
22 receipt of an application for a proposed master development
23 district, the governing body of any city or board of county

1 commissioners of any county may approve the creation of the master
2 development district if the applicant demonstrates the following:

3 1. One hundred percent (100%) of the surface owners within the
4 boundaries of the proposed master development district have
5 consented in writing to its creation and approved the master
6 development district's governing document and improvement plan;

7 2. The governing document prepared by the applicant includes
8 all of the provisions in subsection F of this section; and

9 3. An improvement plan for the district that is conducive to
10 the long-term development of the city or county, as determined by
11 the governing board of the city or board of county commissioners of
12 the county; and

13 4. Nothing in the improvement plan interferes with a city or
14 county's ability to protect infrastructure, comprehensive planning,
15 zoning, or any other requirements the city or county shall impose
16 through contracts between the governing bodies and the applicant of
17 the proposed Master Development District.

18 C. If the proposed master development district is located
19 wholly within an unincorporated area of a county, the county may
20 approve the creation of the master development district by vote of
21 the board of county commissioners or other county entity designated
22 by the board of county commissioners, under the same conditions
23 provided in this section. If the proposed master development
24 district is located wholly within the municipal limits of a city,

1 the city may approve the creation of the master development district
2 by vote of the governing body of the city. If the proposed master
3 development district is partially within an unincorporated area of a
4 county and partially within the municipal limits of a city,
5 application for the proposed master development district shall be
6 made to both the board of county commissioners and the city, and
7 approval by both shall be required for the creation of the master
8 development district.

9 D. Any protest challenging the creation of a master development
10 district shall be filed within ten (10) business days following the
11 official approval of the district by the governing body, unless
12 otherwise preempted by law.

13 E. A master development district may adopt its own bylaws,
14 rules, and regulations for the conduct of its business and the use
15 of its facilities.

16 F. A master development district's governing document shall
17 create an independent board of supervisors, which shall be the
18 governing body of the master development district. The governing
19 document shall include provisions that:

20 1. Restrict members of the independent board of supervisors and
21 their immediate family members from holding an interest in any bond
22 or other securities issued by the board; and

23 2. Delineate provisional officers of the board and a process
24 for transferring control of the board to surface property owners of

1 the district within a reasonable time frame, not to exceed ten (10)
2 years from the initial board appointments.

3 G. The board of supervisors of a master development district
4 shall have the same rights and powers over a master development
5 district that the governing body of a city has over improvement
6 districts, and shall have such other rights and powers as may be
7 provided by law. The board of supervisors of a master development
8 district shall have the power to levy, impose, and collect special
9 assessments on the property within the district for the purpose of
10 financing, operating, maintaining, repairing, or replacing district
11 improvements, including the cost of bonds, reserves, and other
12 obligations incurred by the district. All assessments levied by the
13 master development district pursuant to the BUILD Act shall
14 constitute a lien on the real property against which it is assessed
15 from the date of the levy until paid, equal to the lien of all
16 state, county, and municipal taxes, including ad valorem, and senior
17 to all other liens or encumbrances, including mortgage liens.

18 H. The governing body of an improvement district or the board
19 of supervisors of a master development district may make such
20 improvements or combinations of improvements as it deems beneficial
21 to the district. Such improvement or combination of improvements
22 may include the following, without limitation because of
23 enumeration:
24

- 1 1. Acquisition of property or interest in property when
2 necessary for any of the purposes authorized by the ~~Improvement~~
3 ~~District~~ BUILD Act;
- 4 2. Opening, creating, widening and extending or altering of
5 streets to improve paving, and surfacing, constructing and
6 reconstructing gutters, curbs, sidewalks, crosswalks, driveway
7 entrances and structures, drainage facilities, and service
8 connections from sewers, water, gas, electricity and other utility
9 mains, conduits or pipes;
- 10 3. Constructing or improving main and lateral storm water
11 drains and sanitary sewer systems and facilities;
- 12 4. Installation or improvement of street lights and street
13 lighting systems;
- 14 5. Construction or improvement of water mains and waterworks
15 systems;
- 16 6. Improvement of parks, playgrounds, and recreational
17 facilities;
- 18 7. Improvement of any street, parking or other facility by
19 landscaping, or planting of trees, shrubs and other plants;
- 20 8. Constructing or improving dikes, levees and other flood
21 control works, gates, lift stations, bridges and streets appurtenant
22 thereto;
- 23 9. Constructing or improving vehicle and pedestrian bridges,
24 overpasses and tunnels;

1 10. Constructing or improving retaining walls and area walls on
2 public ways or land abutting thereon;

3 11. Constructing or improving property for off-street parking
4 facilities, including construction and equipment of buildings
5 thereon;

6 12. Constructing or improving pedestrian malls; ~~or~~

7 13. Acquiring, constructing, or improving libraries; or

8 14. Constructing or improving offsite facilities or
9 infrastructure serving all or a portion of land within a district;
10 notwithstanding that, such facilities or infrastructure may also
11 serve areas outside a district, but subject to cost apportionment
12 requirements of subsection A of Section 39-110 of this title.

13 Nothing in the BUILD Act shall be construed as authorizing a
14 master development district to pledge the full faith and credit of
15 the state or any political subdivision. Obligations of the district
16 shall be payable solely from the revenues and assessments of the
17 master development district.

18 SECTION 4. NEW LAW A new section of law to be codified
19 in the Oklahoma Statutes as Section 39-103.2 of Title 11, unless
20 there is created a duplication in numbering, reads as follows:

21 A. An improvement district or master development district is
22 authorized to purchase, construct, acquire, own, operate, maintain,
23 repair, improve, or extend inside and outside its boundaries any and
24 all works, improvements, facilities, plants, equipment, and

1 appliances necessary to accomplish the purposes of the district
2 authorized by law, including all works, improvements, facilities,
3 plants, equipment, and appliances incident, helpful, or necessary
4 to:

5 1. Supply water for municipal uses, domestic uses, power,
6 commercial purposes, and all other beneficial uses or controls;

7 2. Collect, transport, process, dispose of, and control all
8 domestic, industrial, or commercial wastes whether in fluid, solid,
9 or composite state;

10 3. Gather, conduct, divert, and control local storm water or
11 other local harmful excesses of water in a district;

12 4. Irrigate the land in a district;

13 5. Alter land elevation in a district; and

14 6. Navigate waters of the district.

15 B. An improvement district or master development district may
16 enter into contracts with public or private entities for the
17 construction, operation, management, maintenance, or provision of
18 facilities and services related to district facilities and
19 improvements.

20 C. To ensure the financial stability and legal status of a
21 master development district and the security of its assessments, the
22 governing body of the approving city or board of county
23 commissioners of the approving county, or both, as provided in
24 subsection C of Section 39-103 of Title 11 of the Oklahoma Statutes,

1 and the board of supervisors of the master development district
2 shall enter into a master development agreement.

3 1. The master development agreement shall constitute a binding
4 contract and shall legally vest in the master development district
5 development rights including, but not limited to, permitted uses,
6 densities, phasing schedules, development standards, and intensities
7 of use, for the duration of the master development district's
8 existence. The city or county shall not unilaterally apply
9 subsequent changes to zoning, land-use regulations, impact fees, or
10 building codes that substantially impair the master development
11 district's ability to generate the revenue necessary to service its
12 bonded indebtedness.

13 2. The city or county shall finalize and execute the master
14 development agreement within sixty (60) days of the date the master
15 development district is created by vote of the applicable governing
16 body; provided, such timeline may be extended by mutual agreement of
17 the city or county and the master development district. To ensure
18 statewide consistency and reduce administrative delay, the State
19 Treasurer, in consultation with the Council of Bond Oversight, the
20 Oklahoma Development Finance Authority, and any other officials
21 needed, shall develop and make publicly available a Standard Master
22 Development Agreement template to serve as the required basis for
23 all such agreements. Any modifications to the standard template by
24 a city or county shall be limited to project-specific technical

1 infrastructure requirements and shall not impair the core vested
2 rights or the financial security of the master development district.

3 D. A master development district may acquire, lease, sell,
4 convey, or otherwise dispose of real or tangible property, including
5 for facilities, parks, streets, or other improvements as permitted
6 by law.

7 E. A master development district may covenant with bondholders,
8 trustees, or holders of other obligations as to the operation,
9 maintenance, and collection of assessments, and other acts necessary
10 to secure the payment of such bonds.

11 SECTION 5. AMENDATORY 11 O.S. 2021, Section 39-115, is
12 amended to read as follows:

13 Section 39-115. A. To pay all or any part of the cost of ~~the~~
14 ~~improvement~~ improvements in an improvement district, the governing
15 body of a city may issue, in the name of the city or a public trust
16 entity acting on behalf of the city, bonds in one or more series and
17 in amounts not exceeding the total cost of the ~~improvement~~
18 improvements to be financed by each series, including costs of
19 issuance, capitalized interest, funding of reserves, premiums for
20 reserve surety bonds, and obtaining bond insurance, letters of
21 credit or other credit enhancement or liquidity instruments in
22 connection with each series.

23 B. To pay all or any part of the cost of improvements in a
24 master development district, the master development district may

1 issue, in the name of the district or a public trust entity acting
2 on behalf of the master development district, bonds in one or more
3 series and in amounts not exceeding the total cost of the
4 improvements to be financed by such series, including costs of
5 issuance, capitalized interest, funding of reserves, premiums for
6 reserve surety bonds, and obtaining bond insurance, letters of
7 credit, or other credit enhancement or liquidity instruments in
8 connection with each series.

9 C. If ~~the~~ bonds issued pursuant to subsections A and B of this
10 section recite that:

11 1. The proceedings relating to making the improvement and
12 levying the assessments to pay for the improvement have been done in
13 compliance with law; and

14 2. All prerequisites to the fixing of the assessment lien
15 against the tract or parcel of land benefited by the improvement
16 have been performed~~+~~;
17 such recital shall be conclusive evidence of the facts recited.

18 ~~B. The bonds~~

19 D. Bonds issued pursuant to this section shall:

20 1. Recite the terms and conditions for their issuance;

21 2. Be payable from the money collected from the assessment
22 authorized in ~~Section~~ Sections 39-111 and 39-112 of this title;

1 3. Bear a rate of interest not less than two percent (2%) of
2 the rate of interest on the deferred installments of the assessment;
3 and

4 4. Mature not later than thirty (30) years after the date of
5 issuance of the bonds of a particular series.

6 ~~C.~~ E. Payment of the bonds issued by a city or public trust on
7 behalf of a city for a storm sewer, lighting, street, alley, curb,
8 gutter or sidewalk improvement may be supplemented from gasoline tax
9 money remitted by the State of Oklahoma on or before a date not more
10 than twelve (12) months after the last deferred installment of an
11 assessment is due from the owner of a tract or parcel of land so
12 assessed. Payment of the bonds issued for a water, sewer, gas,
13 electric or other improvement may be supplemented from the funds
14 received by the water, sewer, gas, electric or other facility on or
15 before a date not more than twelve (12) months after the last
16 deferred installment of an assessment is due from the owner of a
17 tract or parcel of land so assessed.

18 ~~D.~~ F. The bonds may be issued to the contractor in payment for
19 the construction of the improvement or may be issued and sold:

20 1. In payment of the city's or master development district's
21 proportion of the cost of the improvement;

22 2. In payment of the proportionate cost if the improvement is
23 done in cooperation with another governmental agency or master
24 development district;

1 3. In payment of the construction of the improvement done under
2 contract; or

3 4. In reimbursement to the city or master development district
4 if the city or master development district constructed the
5 improvement with city or district owned or leased equipment and city
6 or district employees.

7 ~~E.~~ G. Any city or master development district may contract for
8 the issuance and sale of bonds or assignable certificates.

9 ~~F.~~ H. Bonds or assignable certificates may be sold at a public
10 or private sale at a discount.

11 ~~G.~~ I. After the passage of thirty (30) days from the
12 publication of the ordinance or resolution authorizing the issuance
13 of district bonds, any action attacking the validity of any
14 proceedings had or taken by the governing body of the city or master
15 development district preliminary to and in the authorization and
16 issuance of the bonds described in the notice is perpetually barred.

17 J. Bonds issued by master development districts pursuant to
18 this section shall not:

19 1. Constitute public debt, liability, or obligation on behalf
20 of a municipality or county; or

21 2. Be considered for any purpose of any constitutional,
22 statutory, or charter debt limitation applicable to a municipality,
23 county, or school district, or impair the bonding authority of the
24 same.

1 K. A master development district created under the BUILD Act
2 shall be a body corporate and politic and a political subdivision of
3 the state. A master development district shall have the power to
4 sue and be sued, to plead and be impleaded, to contract and be
5 contracted with, and to have a corporate seal.

6 SECTION 6. NEW LAW A new section of law to be codified
7 in the Oklahoma Statutes as Section 39-122 of Title 11, unless there
8 is created a duplication in numbering, reads as follows:

9 Nothing in this act shall be construed to authorize districts to
10 provide electric or natural gas service, construct or own electric
11 or natural gas utility facilities, contract for or receive electric
12 or natural gas service from a party which is not authorized to
13 provide retail electric or natural gas services in this state,
14 impair the rights or property of a certified electric or natural gas
15 utility, or limit the jurisdiction of the Oklahoma Corporation
16 Commission without the utility's consent.

17 SECTION 7. This act shall become effective November 1, 2026.

18
19 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
20 04/08/2026 - DO PASS, As Amended and Coauthored.